Question 2: The dangers of a trade war

Extract 5: International trade data for China, the United States (US) and Singapore

Tables 2, 3 and 4 provide information from the current account of the balance of payments for these three economies from 2013 to 2017.

Table 2: Combined value of exports and imports of goods and services as a % of GDP, 2013–2017

	2013	2014	2015	2016	2017
China	46.6	44.9	39.5	37.0	37.8
US	30.2	30.2	27.9	26.6	–
Singapore	366.0	362.3	329.9	318.4	–

Source: World Bank national accounts data, and OECD National Accounts data files

Table 3: Current account balance as % of GDP, 2013–2017

	2013	2014	2015	2016	2017
China	2.0	2.1	2.7	1.8	1.3
US	−2.4	−2.2	−2.6	−2.4	−2.4
Singapore	16.9	19.7	18.1	19.0	19.5

Source: World Bank national accounts data, and OECD National Accounts data files

Table 4: Singapore: Selected external balances (S$ million), 2013–2017

	2013	2014	2015	2016	2017
Current account balance	62 940	73 738	77 668	81 297	84 221
Goods balance	95 281	107 740	123 483	118 092	116 966
Services balance	−9 671	−15 790	−15 889	−6 281	−8 445

Source: Singstat.gov.sg

Extract 6: US President's tariffs pose a threat to China's economy but it faces a range of other problems as well

US and Chinese officials have made headlines in recent months for their confident predictions of trade war victory, but many experts on Chinese affairs say the problems facing Asia's largest economy go well beyond tariffs.

As the trade war between the US and China becomes more severe, analysts are divided over just how tariffs will impact on China's economy. Some economists say the tariff battle between the world's two largest economies could land a significant blow to the East Asian giant, while others contend that China will be able to cope with the tariff rises imposed by the US.

One problem is that China has long relied on infrastructure investment to drive its economic growth but, as the trade war escalates, it will not be easy for the Chinese government to use public spending to boost investment to compensate for the fall in export revenues. This is because government spending has resulted in persistent budget deficits and rising public sector debt. The world's second-largest economy had a relatively stable level of debt until the financial crisis in 2008 when it spent a huge 12.5% of its GDP to stimulate the economy. The Chinese government has borrowed to fund its spending and has encouraged Chinese banks to lend to the private sector to boost economic growth.

That credit explosion caused worries about financial risks, so the authorities in 2017 pledged to contain the rapid build up in debt. Since then however, Chinese debt-to-GDP has steadily grown to about 250% – or about US$28 trillion. The International Monetary Fund (IMF) issued a strong warning about the country's economy in 2017, warning that debt-fuelled growth is an unsustainable long-term solution.

Chinese authorities had been trying to control the country's rising debt, but as the trade war drags on, China appears to be using investments to boost the economy again.

A further problem is that while China is trying to improve productivity through automation and robotics, the effects of its ageing population are harming the economy. 'Demographic trends could subtract 0.5 to 1 percentage points from annual GDP growth over the next three decades in countries such as China,' the IMF said in a 2017 report. China's one-child policy ended in 2016. Couples are now limited to two children, but there has been speculation that officials are considering scrapping birth restrictions altogether. But decades of limiting couples to having only a single child have led to rapidly falling birthrates. That, along with a corresponding ageing population and shrinking labour force, has implications for the country's economy.

Source: Xin En Lee, CNBC, 24 September 2018

Extract 7: The trade war's impact on China will be insignificant, former central bank governor says

The US President has said he is ready to increase the range of tariffs to all US$506 billion worth of Chinese imports to the US. So far, the US has imposed duties on US$50 billion worth of Chinese goods, and a further US$200 billion more will be imposed this month. China is unable to match the tariff threats because the value of its imports from the US is far less.

The trade war between the US and China will not have a huge effect on the Chinese economy, according to the former Governor of the People's Bank of China (PBOC). 'We used a mathematical model to calculate the negative impact of the trade war. It is not very large and it is not significant. The impact on the Chinese economy will be less than 0.5% of GDP', he stated. He said that China's response would be to quickly re-route goods to other countries. 'The worst case scenario is that China is no longer going to export US$500 billion of goods to the US market and then it is dependent on how quickly China can diversify those export goods to the other countries. I think China could act quickly,' he stated.

In addition, he explained that with economic growth of 6% a year and a floating exchange rate, the Chinese economy was well placed to withstand external shocks.

Source: David Reid, CNBC, 7 September 2018

Extract 8: Singapore warns of big risks if trade wars go on

Export-dependent Singapore has a strong warning for the rest of the world: The damage from a prolonged trade war will be severe. Southeast Asia has found some benefits as their patterns of trade have changed in response to the deepening trade hostilities between the US and China. However, the risk of a protracted conflict should have everyone worried about the state of the global economy, said the Minister for Trade and Industry, Chan Chun Sing.

'In the short term, some countries benefit and some countries lose,' Chan said. 'What is worrying for everyone is that the entire global economy loses confidence.' That would have 'a huge impact' on the financial markets, and could slow down the entire level of economic activity.

It is still early days and that worst-case scenario has not materialised yet. But it is a worry for a small, open economy like Singapore's, where exports amounted to 173% of gross domestic product last year. The city-state finds itself in the crossfire as two of its four biggest trading partners engage in a trade war which threatens to disrupt global supply chains.

With the global economy already facing a potential cyclical downturn in the next few years, it would be made worse by a trade-related sharp fall in confidence. There are already troubling signs in Asia where surveys showed a decline in manufacturing confidence in September, signalling weaker activity stemming from the US–China tensions.

Chan said Singapore's economic fundamentals are 'still alright' and fluctuations in the data can be expected. 'There are some cyclical factors. The concern is the longer-term structural shifts.' For now, the economy is still growing steadily, with economists forecasting growth of about 3.2% this year, compared with 3.6% in 2017.

Some economists, however, are predicting an all-out trade war, with the US slapping higher tariffs on all Chinese imports. Some estimates predict that a slowdown in China leading to weaker export growth will spill over to the rest of Asia and cut the region's GDP growth rate extensively.

In order to weather that storm, the Singapore government sees two tasks at hand: keeping the global trading system open and working domestically to make the economy more resilient. 'We need to work with like-minded partner countries to uphold the global trading system, to continue to have free-trade agreements either bilaterally or multilaterally and to make sure that the global trading system remains open, free and rules-based,' Chan said.

He added that the country of 5.6 million people needs to continue to recycle its factors of production efficiently from the less-productive sectors to the more-productive sectors – this might include re-training workers for entry into newer markets such as financial technology – and to welcome foreign workers who will contribute to the more productive parts of the labour market.

Source: Todayonline, 5 October 2018

(a) With reference to Table 4, state the **two** components of Singapore's current account, other than the goods and services balance. [2]

(b) Using a production possibility curve diagram(s), explain the likely impact of the change in the labour force described in Extract 6 upon China's economic growth. [2]

(c) With reference to Extract 7, explain why it might be claimed that a floating exchange rate means that the Chinese economy 'was well placed to withstand external shocks'. [4]

(d) Explain **two** factors that will determine the impact upon the US balance of trade if China raises tariffs on imports from the US. [4]

(e) Explain how supply-side policies aimed at Singapore's labour market could 'make the economy more resilient' and consider how likely they are to be successful. [8]

(f) Discuss whether an open economy such as that of Singapore would gain or lose from an ongoing US-China trade war. [10]

[Total: 30]